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CVS Raises Earnings Outlook, Aided by Pharmacy Benefit Business

New generic drug introductions hamper drugstore giant's pharmacy operations

By Paul Ziobro
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CVS' front-of-store business weakened during the period as customer traffic fell and because the early Easter shifted some sales out of the quarter. REUTERS

CVS Health Corp. raised its profit outlook for the year helped by its pharmacy-benefit business but cut its sales forecast as fewer shoppers come to its drugstores to buy snacks, shampoo and over-the-counter medicines.

The health care company said more generic drugs prescribed though its pharmacy-benefit business boosted the unit's operating profit during the quarter, allowing it to increase its annual earnings forecast. CVS also retired a chunk of its debt load early, cutting its interest expense.

CVS shares rose 4.5% in recent trading to $97.72, erasing losses year to date.

Revenue increased 18% to $43.73 billion for the second quarter. But the company now forecasts its revenue to grow up to 17.8% this year, down from as much as 19%. The change is the result of softer revenue growth in its pharmacy benefits management business, primarily due to lower volume of costly hepatitis C drugs.

The Woonsocket, R.I.-based company is increasingly relying on its large pharmacy benefits management business for growth. The unit manages prescription drug coverage for health insurers and is attracting more clients by helping lower drug spending even as some manufacturers push through sharp price increases.

CVS Chief Executive Larry Merlo eased investor concerns about the recent loss of some public contracts managing the prescription drug coverage, including for the California Public Employees' Retirement System and the Texas Employees Retirement System. UnitedHealth Group Inc.'s OptumRx won both contracts.

Mr. Merlo said that CVS's retention rate is 97.5% and it has also picked up more than $4.6 billion in net new business for next year. "We don't forecast or expect to have 100% retention," Mr. Merlo said on the company's earnings call.

The larger client base is helping its pharmacies by filling more prescriptions. In the latest period, the company's pharmacy sales rose 3.9% at existing locations, even though some recent introductions of generic drugs lowered overall sales.

However, the business in the front of the store continues to struggle, with same-store sales down 2.5% on a decline in customer traffic. CVS has tried to eliminate some of the deepest discounts on everyday items, which is keeping some price conscious customers away.

The chain did clock an increase in the amount each shopper spent in the front-end, as it focuses on getting its most loyal customers to spend more. It is also trying to add more higher margin beauty products, healthier food and more private-label items, as a way to squeeze more profit out of the people that do shop there.

In all for the quarter, CVS reported a profit of $924 million, down from $1.27 billion. Excluding intangible asset amortization, among other items, per-share profit rose to $1.32 from $1.22.

CVS now sees adjusted per-share earnings of $5.81 to $5.89, versus a prior view of $5.73 to $5.88.

The company also released changes to the medications it will cover under its benefits business—or its formulary—for 2017. It said it was removing 10 hyper-inflationary drugs, and embracing so-called biosimilars, the industry term for a copy of a biotechnology drug. For example, it is dropping Sanofi SA's long-acting insulin Lantus, and adopting Eli Lilly & Co.'s Basaglar instead.

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